

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE JAMES KIMBLER

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

**REPLY MEMORANDUM OF THE LONG DEFENDANTS IN SUPPORT OF THEIR
MOTION FOR PARTIAL SUMMARY JUDGMENT ON PLAINTIFF STATE OF
OHIO'S THIRD AMENDED COMPLAINT AND ON COUNTERCLAIM**

Defendants Angela J. Arumpanayil, Trustee; Al Balaa and Marilou Fritz; Enon Banda and Deborah Banda; Erika D. Beck and Cary S. Beck; Kenneth Belcher and Andrea Belcher; Robert Boyd and Janet Boyd; Eric Lee Brown; Revecca M. Buckwalter; Aaron Burak and Allison Burak; Sara D. Butz nka Sara D. Stoessel; Anita C. Byrd, Trustee; Edwin L. Cable and Sandra M. Cable; Yong-Hwa Chen and Chu-Hsiang Chen; Matthew A. Cherup and Karen L. Cherup; Joseph R. Christopher and Cheryl K. Christopher; Kelly L. Clark and Christopher A. Clark; Marcell Codispoti and Peggy Codispoti; Paula C. Compton-Solie; Edward L. Cosby and Janice Cosby,

Trustees; Derk D. Demaree and Anita M. Demaree; Joseph M. DePolo and Robin L. DePolo; Carol A. Didinger, Trustee; Mark Driftmyer, Trustee; Linda L. Fritz; Peggy A. Gaddis; Donald L. Garvic; Andreas Giakoumas and Ypatia Giakoumas; Diane Goodrich and James Goodrich; Gary Gray and Carolyn Gray; Adrienne Harris and Jeffry Harris; Bharon Hoag and Heather Hoag; Shane Alan Kinton, Trustee; Laurie Ann Kirkpatrick, Trustee; Angela Lawson (Merryman); Robert S. Lebold and Jennifer Lebold; Richard Littleton and Vicki Littleton; Mark A. Long and Denise A. Long; Jesse L. Marlow and Jane C. Marlow; Hewlet McFarlane and Andrea White; Scott T. Miglin and Susan D. Miglin; Mount Vernon Nazarene University; Stephen D. Mullendore and Jeanne C. Mullendore, Trustees; Chetan I. Patel and Chetna C. Patel; Douglas P. Peterson and Diana L. Peterson; Philip B. Petrie and Priscilla J. Petrie; Randolph B. Plasse and Tina M. Plasse; Bradley D. Porter and Tonya S. Porter; Brian Przeracki; Kenneth L. Rhoades and Mary M. Rhoades; Ralph L. Shafer; Benjamin B. Snow and Mary M. Snow; Matthew M. Snow and Megan Snow; Rachel Strickland and Jeffrey Strickland; Stull Preservation Trust, Julie A. Didinger, Trustee; Rodger B. Stull and Nancy A. Stull; Crystal O. Tuel and Mark S. Tuel; Michael L. Ulrey and Rosemary Ulrey; Lawrence Vail and Nancy Vail; Alexander Varughese and Marcia J. Varughese; Brad Whitaker and Leslie Whitaker; Brian C. Williams; James E. Williams; Margaret Williams; Timothy J. Williams and Dianne L. Williams (collectively, the “Long Defendants”), by and through counsel, submit this Reply Memorandum (“Reply”) in support of their motion for summary judgment (“Motion”). This Reply is in response to the Plaintiff State of Ohio’s Consolidated Brief in Response to Motions for Summary Judgment (“State’s Brief”).

I. INTRODUCTION AND OVERVIEW

This entire case, the State admits, is extremely narrow: “this dam safety action is limited to declaring the dam’s owner[s]”, State’s Brief, p. 4. This is because, as the State acknowledges,

“Under Ohio’s dam safety law, the only person[s] responsible to safely operate and maintain a regulated dam is its owner[s].” State’s Brief, p. 2.

The State’s Brief admits critical points from the Motion, including that the only basis for liability for maintenance of the Knox Cattle Company Dam (the “Dam”) is ownership of the Dam, and that none of the Long Defendants own the land where the Dam is located. The State’s Brief ignores and fails to rebut numerous arguments made by the Long Defendants in the Motion, implicitly accepting those arguments. The State’s Brief makes several arguments without any evidentiary support, and without citing a single case, statute, secondary authority, or other legal authority. These will be addressed below, as necessary.

The State failed to meet its burden to present specific evidence on an issue for which it bears the production at trial, that is, evidence that something in the Declarations filed with the County Recorder makes any of the Long Defendants owners of the Dam. See *State ex rel. Zimmerman v. Tompkins*, 75 Ohio St.3d 447, 449 (1996). Failure to present such evidence warrants summary judgment in favor of the movant. *Id.* Mere reliance on the pleadings or unsupported allegations is insufficient. *Id.* The adverse party must respond with specific facts showing that there is a genuine issue of material fact. *Beckloff v. Amcor Rigid Plastics USA, LLC*, 6th Dist., Sandusky No. S-16-041, 2017-Ohio 4467.

Summary judgment is appropriate in favor of the Long Defendants on Count One of the Third Amended Complaint, which seeks declaratory judgment as to whether the Long Defendants, among others, are owners of the Dam; and on Count One of the Counterclaim, which seeks declaratory judgment that the Long Defendants are not owners of the Dam.

II. LAW AND ARGUMENT

A. None of The Long Defendants Are Owners of the Dam.

The Long Defendants are not “owners” of the Dam. The State does not disagree. “The State takes no position on which of the Defendants own the Dam”, State’s Brief, p. 12.

Ohio Adm. Code 1501:21-3-01(W) provides that the “Owner” of a dam “means those who own, or propose to construct a dam or levee.” (Counterclaim, ¶ 61; Answer, ¶ 61.) The Long Defendants did not construct the Dam. (Counterclaim, ¶ 55; Answer, ¶ 55.)

This court has previously stated in this case, Judgment Entry as to Motion for Summary Judgment of Roger and Sharon Reed, filed March 1, 2023, that nothing in the Ohio Revised Code in Chapter 1521 or in the Ohio Administrative Code indicates that the word “Owns” means anyone or anything other than the person or entity who has title to the land on which the Dam is located. (Counterclaim, ¶ 62; Answer, ¶ 62.) The State’s Brief ignores this point.

The State’s Brief does not offer any evidence that any of the Long Defendants has title to the land on which the Dam is located. The State does not allege (nor could it) that any of the Long Defendants own the real property where the Dam is located. Instead, the State alleges that Mullins transferred the property where the Dam and Lake are located to Defendant The Landings Property Owners Association, on August 1, 2007 (Complaint, ¶ 22).

The State does not deny that it never once sent a letter, notice, request, or demand, or filed a claim in litigation, or made any effort whatsoever to say that any of the Long Defendants were owners of the Dam from the time that it sent its first “Dear Dam Owner” letter on October 14, 2009 until it filed the Third Amended Complaint in 2023, fourteen years later, and after it had lost several summary judgment motions. While the State is required by statute to take certain actions as to owners of dams, the State never furnished a report of any of its inspections of the Dam to any of the Long Defendants. The State never informed any of the Long Defendants of any required

repairs, maintenance, investigations, and other remedial and operational measures of the Dam. The State never ordered any of the Long Defendants to perform repairs, maintenance, investigations, and other remedial and operational measures of the Dam.

The reason for the State's lack of any action over fourteen years as to the Long Defendants is simple, and is consistent with the State's Brief saying, "The State takes no position on which of the Defendants own the Dam", State's Brief, p. 12: there is no evidence to support any claim that any of the Long Defendants own the Dam, and no legal authority to support any such claim.

The logic of this case is inescapable: "this dam safety action is limited to declaring the dam's owner[s]", State's Brief, p. 4. The definition of an owner of a dam is provided in Ohio law in Ohio Adm. Code 1501:21-3-01(W), which provides that the "Owner" of a dam "means those who own, or propose to construct a dam or levee." Nothing in the Ohio Revised Code in Chapter 1521 or in the Ohio Administrative Code indicates that the word "Owns" means anyone or anything other than the person or entity who has title to the land on which the Dam is located. The State does not allege and has no evidence that any of the Long Defendants own the land where the Dam is located. Mullins owned the land where the Dam is located, and then transferred that land to Defendant The Landings Property Owners Association, Inc. None of the Long Defendants are members of The Landings Property Owners Association, Inc., nor have they ever been.

One of the unsupported assertions in the State's Brief is found on page 3, where the State claims, "While many times a dam's owner owns the parcel[s] upon which the dam sits, this is not always the case." However, the State failed to cite a single instance in the history of the State of Ohio when this was the case, and it is directly contradicted by Ohio Adm. Code 1501:21-3-01(W), and by the Judgment Entry as to Motion for Summary Judgment of Roger and Sharon Reed, filed March 1, 2023. The State's unfounded claim is also contradicted by its own Emergency Motion in this case, filed October 19, 2022, when it asserted, on page 2, that there would be unprecedented

irreparable harm in requiring “innocent property owners to defend against being joined to a lawsuit without any legal or factual basis for anyone to claim that they ‘own’ a failing Dam that is not located on their property.” *Id.* (Emphasis added.)

None of the Long Defendants own the land where the Dam is located. They are therefore not owners of the Dam. Summary judgment should be granted in their favor.

B. The Declaration Does Not Change the Result.

There is no viable claim against any of the Long Defendants because none of them own the land on which the Dam is located, and they are therefore not owners of the Dam. The State acknowledges and agrees that ownership of the Dam is the *sine qua non* of responsibility for repairs to the Dam. If someone does not own the land on which a dam is located, that person is not responsible for repairs to the dam. That should be the end of the inquiry, because only a dam owner can be responsible for repairs to a dam.

But, the State asserts, “Binding legal agreements, such as enforceable restrictive covenants may set forth who is responsible for a dam and its impoundment.” State’s Brief, p. 3. This is another unsupported assertion by the State, devoid of any citation to evidence or law. It is also wrong.

There are multiple reasons why the recording of a Declaration is irrelevant to the issue of who is responsible for repairs to the Dam, which is solely and exclusively the obligation of the owner of the Dam. Those reasons were set forth at length in the Motion, and the State did not rebut any of them, impliedly accepting their validity.

The State did not rebut that the Declaration only obligates a corporation, not any of the individual landowners. The language in the Declaration squarely places “sole responsibility” for “care and maintenance” of the “lake” on “this corporation”, *i.e.*, the Landings Common Area

Association, Inc. The Declaration does not place any responsibility for the care and maintenance of the “lake” on any individual residing in The Landings, *i.e.*, the Long Defendants.

Chapter 1702 of the Ohio Revised Code sets forth the law on Ohio Nonprofit Corporations. Revised Code Section 1702(A) is clear:

The members, the directors, and the officers of a corporation shall not be personally liable for any obligation of the corporation.

The Declaration does nothing to establish any individual liability for any landowner, or any member of a homeowners’ association, for the care and maintenance of the lake. Ohio law provides limited liability for individuals associated with corporations. “A fundamental rule of corporate law is that, normally, shareholders, officers, and directors are not liable for the debts of the corporation.” *Belvedere Condominium Unit Owner’s Assn. v. R.E. Roark Companies, Inc.*, 67 Ohio St.3d 274 (1993). Therefore, a corporation has the sole responsibility for care and maintenance of the lake, and the individual landowners have none.

The State did not rebut that R.C. 5312.08, which sets out the responsibility between the owners’ association, and the individual landowners, for common areas, like the lake allegedly is in this case, precludes any finding of liability for maintenance of the Dam against any of the Long Defendants. The State did not deny that no Ohio court has ever imposed liability on an individual landowner for an obligation of a homeowners’ association to maintain a common area.

The State did not deny that the Declaration does not require anyone to maintain a dam. In fact, the Declaration does not contain any reference to a dam. (Counterclaim, ¶¶ 14, 15, 23, 24; Answer, ¶¶ 14, 15, 23, 24.) The word “dam” is not stated a single time in the eleven-page, single spaced Declaration.

The State did not deny that the Declaration obligates a nonexistent company. While Mullins stated in the Declarations that were filed with the Knox County Recorder that it “shall

require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc.”, Mullins never created any such non-profit corporation (Counterclaim, ¶ 73; Answer, ¶ 73.) (Mullins Response to Long Defendants Requests for Admission, No. 12, No. 13.)

The language in Paragraph 4(B) of the Declaration is sloppy, at best. Mullins and its lawyer drafted that language without any input from any of the Long Defendants. Because that language is indefinite, doubtful, and capable of contradictory interpretation, the language must be strictly construed against Mullins.

Ohio's legal system “does not favor restrictions on the use of property.” *Driscoll v. Austintown Assoc.*, 42 Ohio St.2d 263, 276, 328 N.E.2d 395 (1975). “The general rule, with respect to construing agreements restricting the use of real estate, is that such agreements are strictly construed against limitations upon such use, and that all doubts should be resolved against a possible construction thereof which would increase the restriction upon the use of such real estate.” *Bove v. Giebel*, 169 Ohio St. 325, 159 N.E.2d 425 (1959), paragraph one of the syllabus. Furthermore, “[i]f the covenant's language is indefinite, doubtful, and capable of contradictory interpretations, the court must construe the covenant in favor of the free use of land.” *Farrell v. Deuble*, 175 Ohio App.3d 646, 2008-Ohio-1124, 888 N.E.2d 514, ¶ 11, citing *Houk v. Ross*, 34 Ohio St.2d 77, 296 N.E.2d 266 (1973), paragraph two of the syllabus.

Heather Lake Assn. v. Billiter, 2017-Ohio-8387, 99 N.E.3d 1018 (5th Dist. 2017), at ¶ 23.

The Supreme Court of Ohio has consistently held that “[w]here the language contained in a deed restriction is indefinite, doubtful and capable of contradictory interpretation, that construction must be adopted which least restricts the free use of the land.” *Morgan Woods Homeowners' Assn. v. Wills*, 5th Dist. Licking No. 11 CA 57, 2012-Ohio-233, 2012 WL 195409, ¶ 42, citing *Houk v. Ross*, 34 Ohio St.2d 77, 296 N.E.2d 266 (1973), paragraph two of the syllabus, overruled on other grounds by *Marshall v. Aaron*, 15 Ohio St.3d 48, 472 N.E.2d 335 (1984).

Id., at ¶ 32.

It is indefinite for the Declaration to state that the Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc., rather than stating that the owners of all lots are required to become members of any non-profit corporation. It is indefinite for the Declaration to state that the Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc., and then the Developer fails to take any action to require the owners of all lots to become members of any non-profit corporation. It is indefinite for the Declaration to state that a corporation shall be responsible for care and maintenance of a lake, and not refer in any way to a dam associated with the lake. It is capable of contradictory interpretation for the Declaration to state that the Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc., and then argue that all owners of lots must become members of a different non-profit corporation known as The Landings Property Owners Association, Inc. It is doubtful and capable of contradictory interpretation for a Declaration for the Landings Phase VII and Phase VIII to recite the right of members of another homeowners association to utilize the lake for recreational purposes without payment of any fees or costs, and at their own risk.

Consistent with past holdings of the Supreme Court of Ohio, this court should adopt the construction of Paragraph 4(B) of the Declaration which least restricts the free use of the land, which is that none of the Long Defendants are required to members of a non-profit corporation known as The Landings Property Owners Association, Inc., and none of them are responsible for the care and maintenance of either the Lake or the Dam.

The State did not deny that the Declaration attempts to impose liability for care and maintenance of the lake on a corporation where the Long Defendants would be members, even though the lake was not a part of the development, and not a “common element” of the Landings

Development. The Lake, and the Dam, are not part of The Landings. Instead, they are part of the Waters Edge development. Mr. Mullins admits that the area where the lake is situated is to the west and north of Phase VII of The Landings. (Mullins Depo. p. 138.)

The State's Brief failed to rebut or deny any of the five points reiterated above. That is, even if a Declaration could somehow provide a basis for individual liability for a homeowner in a development over maintenance of a dam where the homeowner does not own the property where the dam is located (a proposition the State has provided no legal support for), and even if Mullins had provided adequate notice to each of the Long Defendants of the deed restriction regarding membership in The Landings Property Owners Association, Inc. (which it did not, as discussed below), any one of those five points would preclude a finding against the Long Defendants. Here, all five points are valid, unrebutted, and preclude liability, this justifying summary judgment.

C. The Deed Restrictions Are Not Enforceable.

In addition to all of the foregoing reasons why the Declarations do not make the Long Defendants liable for repairs to the Dam, the restrictions set forth in the Declarations concerning the lake and the homeowners association are not binding on the Long Defendants.

To begin, the State's Brief made yet another completely unsupported assertion: "developers typically transfer ownership of that lake and dam and place responsibility for maintaining them with a homeowners association." State's Brief, p. 5. This is the sort of unsupported allegation prohibited by *State ex rel. Zimmerman v. Tompkins, supra*. The State failed to cite any evidence, or any legal authority, or any authority of any kind for this bald assertion, which should therefore be ignored.

The State agrees, on page 13 of the State's Brief, that in order to create an enforceable restriction on the use of land by covenant, there are five requirements. These requirements are:

First, the restrictions must be a part of the general subdivision plan, applicable to all lots in the subdivision. Second, lot purchasers must be given adequate notice of the restriction. Third, the restrictions must be in accord with public policy, and they are unenforceable to the extent that they are not. Fourth, the restriction cannot be implied, but must be express. Fifth, the restrictions must run with the land, and therefore must be inserted in the form of covenants in the owner's chain of title. Otherwise, subsequent purchasers are not bound.

Lipchak v. Chevington Woods Civic Association, Inc., 2015-Ohio-263, ¶ 33 (5th Dist. 2015).

Here, the restrictions, i.e, the provisions in Paragraph 4(B) of the Declarations about membership in a nonprofit corporation, and the lake, are not enforceable against the Long Defendants for any of three reasons: Mullins did not give any of the Long Defendants adequate notice of the restrictions; those restrictions are not in accord with public policy; and they are not express.

1. Mullins Failed to Provide Adequate Notice of Deed Restrictions to Any of the Long Defendants

The State does not deny that none of the deeds issued by Mullins had any reference to a nonprofit corporation, a homeowners association, a lake, a dam, or assessments, or that Mullins failed to attach a copy of the Declaration to any deed issued to any of the Long Defendants. None of the deeds state that the deed restrictions run with the land.

The State does not deny that Mullins never showed the Phase VII Declaration to any lot owners or potential lot owners. Mullins was not present at any closings for the sale of lots.

The State suggests that the filing of the Declarations with the County Recorder might be enough for notice, without actual notice being provided. The State is wrong. The State says, "restrictive covenants timely recorded in the County Recorder's Office may provide sufficient notice." State's Brief, p. 15. (Emphasis added.) However, the cases cited by the State do not support even this lukewarm statement. In *High Point Assn. v. Salvekar*, 8th Dist. Cuyahoga No.

65725, 1994 Ohio App. LEXIS 2986, in addition to recorded covenants, there was evidence that the homeowner had actual notice of the restrictions. *Garvin v. Cull*, 11th Dist. Lake No. 2005-L-145, 2006-Ohio-5166, does not provide any support to the State. In that case, the court affirmed a finding that deed restrictions were unenforceable. And, unlike here, there was undisputed evidence that the parties' deeds made specific reference to the subdivision's declaration of covenants, conditions, and restrictions.

The State then argues that Mullins provided actual notice of the deed restrictions based on alleged "Closing Agreements". However, Steve Mullins admitted in his deposition that he is unable to identify a single person who signed the alleged agreement.

Q. Can you identify a single resident of The Landings, either Phase VII or VIII, who you can swear under oath signed a document as you've just described it?

A. No. I probably didn't see it personally, so I couldn't swear under oath that I seen it happen, no, sir. If I wasn't at the closing, I didn't see it, I can't swear under oath that I seen it, and I wouldn't try that.

(Depo. of Steve Mullins, p.162.)

After this deposition, Mullins "searched for all documents related to Phase VII and Phase VIII" and "produced all discoverable records it found". (Mullins Dec. 20, 2023 Affidavit, ¶ 11.)

The only evidence Mullins produced is that three of the Long Defendants (Derk Demaree, Stephen Mullendore, and Paula Camille Compton Solie) signed a one-page document in which they purportedly acknowledged that they agreed with deed restrictions that were recorded with the Knox County Recorder. Mullins has no such written acknowledgment from any of the other 104 Long Defendants, all of whom have denied signing any such acknowledgment in their sworn affidavits, on file in this action. See, for example, the affidavits of Long Defendants Kenneth and Andrea Belcher, who purchased their property in Phase VII of the Landings on July 25, 2007, from Schlabach Builders, Ltd. (Affidavits of Kenneth and Andrea Belcher), filed herein. They never

signed an agreement with Mullins acknowledging any deed restrictions. (Affidavits of Kenneth and Andrea Belcher, ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

It is hardly surprising that Mullins only has written agreements with less than a handful of individuals, out of more than a hundred. Most of the lots that Mullins sold in The Landings were to builders who then erected houses on lots, and were the direct sellers to individuals who now reside in The Landings. Steve Mullins admitted this in his deposition on November 29, 2023:

Q. Alright. So you gave the names to Mr. Kidwell of everybody that Mullins Bros. had sold a lot to in Phase VII and Phase VIII, right?

A. Well, that's not correct, because I didn't sell 75 individual lots to 75 people. I only sold, like, 16 lots to individuals and then I sold bulks of them to builders.

(Mullins Depo., pp. 218-219.)

The overwhelming majority of the Long Defendants did not purchase a lot from Mullins, but bought from a builder, or from an individual who purchased from someone who had purchased from Mullins. Mullins has made absolutely no effort in his affidavit to carve out its claim as to those few individuals with whom there is an alleged written agreement.

The Long Defendants have filed 71 affidavits detailing Mullins' failure to provide adequate notice of deed restrictions (among other facts). An example is the affidavits of Long Defendants Kenneth and Andrea Belcher, who purchased their property in Phase VII of the Landings on July 25, 2007, from Schlabach Builders, Ltd. (Affidavits of Kenneth and Andrea Belcher). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any

reference to any requirement to join a homeowners association, or other entity. (Id., ¶ 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

Another example is the affidavits of Long Defendants Marcell and Peggy Codispoti, who purchased their property in Phase VIII of the Landings on November 8, 2021, from Donald and Debra Ezzo. (Affidavits of Marcell and Peggy Codispoti). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any reference to any requirement to join a homeowners association, or other entity. (Id., ¶ 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

The Codispoti deed did not give them any clue that they might have some obligation to become members of a homeowners association. All the deed says is that the conveyance is “Subject to conditions, restrictions and easements, if any, contained in prior instruments of record.”

This is “vague, boilerplate language” that leaves it unclear whether any deed restrictions “may—or may not—exist.” *Erickson v. Morrison*, 165 Ohio St.3d 76, 2021-Ohio-746, 176 N.E.3d 1 (2021) ¶ 32. There is no notice that the homeowner has any obligation to become a member of a homeowners association.

Long Defendants Richard and Vicki Littleton purchased their property in Phase VII of the Landings on May 9, 2022, from Darrell Breese. (Affidavits of Richard and Vicki Littleton). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or

to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any reference to any requirement to join a homeowners association, or other entity. (Id., ¶ 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

The Littleton deed did not give them any clue that they might have some obligation to become members of a homeowners association. All the deed says is that the conveyance is “Subject to conditions, restrictions and easements, if any, contained in prior instruments of record.” (Emphasis added.)

Long Defendants Timothy and Dianne Williams purchased their property in Phase VIII of the Landings on July 27, 2018, from Shyang-Ming and Tong-Ling Yeh. (Affidavits of Timothy and Dianne Williams). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any reference to any requirement to join a homeowners association, or other entity. (Id., ¶ 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

The Williams deed did not give them any clue that they might have some obligation to become members of a homeowners association. All the deed says is that the conveyance is “Subject to all reservations, conditions, limitations, highways, public roads, rights-of-way, easement and restrictions of record.”

Even if there was evidence that any of the Long Defendants had a copy of the Declaration before they purchased their lot (which there is not), what they would have seen would be a reference to membership in a nonprofit corporation which would be responsible for care and maintenance of a lake that was not in their housing development, with a requirement that they pay annual dues of \$200. And they would have seen that their developer, Mullins, was setting up a corporation, the Landings Common Area Association, Inc., which would have exclusive control of the lake and be responsible for its care and maintenance—a corporation that the developer never formed. That is not adequate notice of individual liability for millions of dollars in repairs for a dam in a nearby development.

2. The Deed Restrictions Are Contrary to Public Policy

Moreover, under *Lipchak*, a deed restriction that is not in accord with public policy is unenforceable:

Third, the restrictions must be in accord with public policy, and they are unenforceable to the extent that they are not.

Lipchak v. Chevington Woods Civic Association, Inc., *supra*, ¶ 33.

The State suggests that “public policy supports enforcement of the restrictions so that the public may be protected through the proper maintenance of the Dam.” State’s Brief, p. 14. This is another unsupported allegation, as the State provided no authority for this proposition. The State’s assertion is also belied by the lack of any statement in the Declaration requiring proper maintenance of any dam.

While it might be good policy to have a deed restriction requiring proper maintenance of a dam, that is not what Mullins wrote in its Declaration. Rather, what Mullins did do was to contravene public policy. It is against public policy to require homeowners of a planned community to be financially responsible for maintenance of a lake and a dam that are not located

in their planned community, and in which they have no ownership interest, and no right of access, even if they had notice of this claimed restriction.

The statement in Paragraph 4(B) of the Declaration, “This corporation shall have the sole and exclusive control of the lake located on the land of the Developer and shall be responsible for its care and maintenance” is contrary to public policy and therefore unenforceable.

3. The Deed Restrictions Are Not Express

Lipchak holds, “Fourth, the restriction cannot be implied, but must be express.”

An express restriction would name “The Landings Property Owners Association, Inc.” A restriction that names another company, but that the drafter wants readers to interpret to be “The Landings Property Owners Association, Inc.” is an implied restriction.

The Landings Property Owners Association, Inc. is not mentioned anywhere in the chain of title for any of the Long Defendants. It is not mentioned in their deed, or in a Declaration filed with the Knox County Recorder. A property owner is not required to pay assessments to, or join, a planned community association that is not referenced in the property owner’s chain of title. *Lubow v. Haaf Farms Homeowner’s Ass’n*, (5th Dist., 2017), 2017-Ohio-2973.

The State does not deny any of this.

Because there is no express restriction saying that property owners are required to become members of a non-profit corporation known as “The Landings Property Owners Association, Inc.”, the deed restriction concerning membership in a non-profit corporation is unenforceable.

D. The State’s Claim is Barred by Laches, Estoppel, and Waiver.

As demonstrated above, the Long Defendants are not owners of the Dam, and are therefore entitled to summary judgment on both the Complaint and the Counterclaim. Nothing in the Declaration changes that result. Nothing in the Declaration imposes individual liability for maintenance of the Dam on the Long Defendants, the Declaration fails to even mention a dam, the

lake mentioned in the Declaration was not a part of the Landings development, and not a “common element” of the Landings Development, and the Declaration obligates a nonexistent company, where Mullins made no effort to have the Long Defendants join.

Summary judgment should be granted in favor of the Long Defendants without regard to their affirmative defenses. The following discussion is offered only in the event that the court determines that summary judgment is not in order on the above grounds.

The State’s claim against the Long Defendants is barred by the failure of the State to take any action against any of the Long Defendants for over 14 years, which resulted in undue prejudice to the Long Defendants. The State’s claim is barred by laches, estoppel, and waiver.

The State does not deny that it has known of claims it has against the owners of the Dam since, at the latest, 2009. Nor does it deny that it sent letters to alleged dam owners in 2009, 2010, 2015, 2018, and 2019, but never sent any letters to any of the Long Defendants, at any time. Nor does it deny that it never asserted a claim against any of the Long Defendants in litigation until 2023, fourteen years after it knew it had claims against the owners of the Dam.

The State admits that the elements of a laches defense are (1) unreasonable delay or lapse of time in asserting a right, (2) absence of an excuse for the delay, (3) knowledge, actual or constructive, of the injury or wrong, and (4) prejudice to the other party.

The State makes no effort to justify its fourteen-year delay in asserting a right against any of the Long Defendants. It offers no excuse for its delay. It clearly had knowledge of the alleged wrong concerning the Dam. Thus, the first three elements are satisfied, leaving only whether there was prejudice to the Long Defendants as a result of the State’s unreasonable delay in asserting a right against them.

The State presents no argument of lack of prejudice. The State presents no response to the affidavit testimony offered in support of the Motion by Long Defendant Timothy Williams, which set forth the numerous ways in which he suffered prejudice as a result of the State's delay.

The Long Defendants have now filed 71 additional affidavits, which demonstrate prejudice. For example, see the affidavit of Hewlett G. McFarlane. He purchased from Schlabach Builders, Ltd., Lot 801, Phase VIII of The Landings, Knox County, Ohio on August 4, 2008, parcel number 66-09675.177. (Affidavit of Hewlett G. McFarlane, ¶ 2.) He made the following statements in his affidavit:

66. I have been severely prejudiced, as, on information and belief, have all other lot owners in Phase VII and Phase VIII of The Landings, by the State's substantial delay in asserting a claim that lot owners in Phase VII and Phase VIII of The Landings are owners of the Dam, and personally responsible for repair and maintenance of the Dam.

67. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, a common fund could have been gathered to pay for repair and maintenance of the Dam.

68. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would have sold my house in The Landings, for multiple reasons, including a reluctance to assume responsibility for a Dam that was not located on my property or in my development, and for which I would receive no benefit.

69. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would not have been responsible for a share of \$2,560,000 in costs for repair and remediation of the Dam, because the necessary repair and maintenance of the Dam would have likely been completed at a substantially lower cost.

70. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam

and personally responsible for repair and maintenance of the Dam, I would not have been responsible for a share of \$2,560,000 in costs for repair and remediation of the Dam, because then owners of lots in Phase VII and Phase VIII of The Landings would likely taken and completed steps to change the Dam and Lake to take the Dam out of the jurisdiction of the State of Ohio at a substantially lower cost.

71. Because of the State's delay of 14 years in asserting a claim that the individual lot owners in Phases VII and VIII of The Landings are personally responsible for repair and maintenance of the Dam, lot owners have died, moved away, and otherwise become unavailable to contribute to a common fund.

72. Because of the State's delay of 14 years in asserting a claim that the individual lot owners in Phases VII and VIII of The Landings are personally responsible for repair and maintenance of the Dam, the cost of repair and maintenance of the Dam has increased exponentially.

73. In 2009, the State only required that certain studies and plans be completed within five years. The 2019 Dam Safety Inspection Report issued April 27, 2020, and referenced in the Complaint for Declaratory and Injunctive Relief, required extensive "remedial measures." On July 1, 2022, a consulting firm retained by the City of Mount Vernon issued a written report, in which it estimated the cost of the remedial measures required by the State to be \$2,560,000.

Mr. McFarlane purchased his lot before the State sent its first letter to "Dam owners" in 2009. He, and others who bought lots before that letter, suffered one kind of prejudice, as described in his affidavit, and in the many similar affidavits filed to date.

A different kind of prejudice was suffered by those who purchased their lots after the State should have reached out and resolved the dam ownership issue in 2009. See, for example, the affidavit of Marilou M. Fritz. She purchased from Gary E. Wilson and Joette M. Wilson, Lot 727, Phase VII of The Landings, Knox County, Ohio on February 21, 2020, Parcel No. 66-09675.152. (Affidavit of Marilou M. Fritz, ¶ 2.) She made the following statements in her affidavit:

67. I have been severely prejudiced, as, on information and belief, have all other lot owners in Phase VII and Phase VIII of The Landings, by the State's substantial delay in asserting

a claim that lot owners in Phase VII and Phase VIII of The Landings are owners of the Dam, and personally responsible for repair and maintenance of the Dam.

68. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, a common fund could have been gathered to pay for repair and maintenance of the Dam.

69. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would not have purchased my house in The Landings, for multiple reasons, including a reluctance to assume responsibility for a Dam that was not located on my property or in my development, and for which I would receive no benefit.

70. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would not have been responsible for a share of \$2,560,000 in costs for repair and remediation of the Dam, because the necessary repair and maintenance of the Dam would have likely been completed before I purchased my house.

71. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would not have been responsible for a share of \$2,560,000 in costs for repair and remediation of the Dam, because then owners of lots in Phase VII and Phase VIII of The Landings would likely taken and completed steps to change the Dam and Lake to take the Dam out of the jurisdiction of the State of Ohio before I purchased my house.

72. Because of the State's delay of 14 years in asserting a claim that the individual lot owners in Phases VII and VIII of The Landings are personally responsible for repair and maintenance of the Dam, lot owners have died, moved away, and otherwise become unavailable to contribute to a common fund.

73. Because of the State's delay of 14 years in asserting a claim that the individual lot owners in Phases VII and VIII of The Landings are personally responsible for repair and maintenance of the Dam, the cost of repair and maintenance of the Dam has increased exponentially.

74. In 2009, the State only required that certain studies and plans be completed within five years. The 2019 Dam Safety Inspection Report issued April 27, 2020, and referenced in the Complaint for Declaratory and Injunctive Relief, required extensive “remedial measures.” On July 1, 2022, a consulting firm retained by the City of Mount Vernon issued a written report, in which it estimated the cost of the remedial measures required by the State to be \$2,560,000.

As to Ms. Fritz, and the many others of the Long Defendants who purchased their lots after 2009, her affidavit and the other filed sworn affidavits answers the question, why would they have ever purchased their lots and subjected themselves to a share of \$2,560,000 in remedial measures, plus ongoing costs and responsibilities, for a dam and a lake that they do not own, and have no access to, and is not part of their development? She didn’t even know there was a dam at the lake. *Id.*, ¶ 34. She suffered prejudice as a result of the State’s delay, because the cost of remediation increased exponentially, there was no common fund developed, and she would not have purchased the house if the State had acted diligently.

That only leaves the State with its hope to hide behind protection as the government. However, the State has not denied that the imposition of an absolute bar to the availability of laches as a legal defense against the State has never been held by the Ohio Supreme Court. *Id. Still v. Hayman*, 153 Ohio App.3d 487, 2003-Ohio-4113 (7th Dist. 2003).

Just because courts may be “loathe to apply doctrines of waiver, laches or estoppel to governmental entities and arms thereof”, *Gold Coast Realty, Inc. v. Bd. of Zoning Appeals*, 26 Ohio St.2d 37, 39, 268 N.E.2d 280 (1971), does not mean that courts will not and cannot do so in the appropriate case, like here, where real harm has been done to real people as a result of the State’s unreasonable 14 year delay in presenting a claim against the Long Defendants.

The purpose of equitable estoppel is to prevent actual or constructive fraud and to promote the ends of justice. *Ohio State Bd. of Pharmacy v. Frantz*, 51 Ohio St.3d 143, 555 N.E.2d 630

(1990). Equitable estoppel precludes recovery when one party induces another to believe certain facts exist and the other party changes his position in reasonable reliance on those facts to his detriment. *Glidden Co. v. Lumbers Mut. Cas. Co.*, 112 Ohio St.3d 470, 2006-Ohio-6553 (2006).

While the State is required by statute to take certain actions as to owners of dams, the State never furnished a report of any of its inspections of the Dam to any of the Long Defendants; never informed any of the Long Defendants of any required repairs, maintenance, investigations, and other remedial and operational measures of the Dam; and never ordered any of the Long Defendants to perform repairs, maintenance, investigations, and other remedial and operational measures of the Dam. It was reasonable for each of the Long Defendants to believe that the State's failure to act for fourteen years meant that the State did not consider any of them to be owners of the Dam, and that it would not file a lawsuit against them charging them with ownership having never fulfilled its statutory duty owed to dam owners.

The State is wrong when it claims that the Long Defendants did not argue that they reasonably changed their position in reliance on the State's conduct. The Long Defendants submitted with the Motion an affidavit by Long Defendant Timothy Williams, which stated, at paragraph 60:

If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, Dianne L. Williams and I would not have purchased our house in The Landings, for multiple reasons, including a reluctance to assume responsibility for a Dam that was not located on our property or in our development, and for which we would receive no benefit.

As to waiver, the Long Defendants do not contend, and never have, that the State has waived its right to pursue certain individuals and entities for the maintenance of the Dam. The

State has only waived that right as to the Long Defendants, by virtue of its known relinquishment of its right to pursue them.

III. CONCLUSION

For the foregoing reasons, the Long Defendants respectfully request that this Court find that there are no genuine issues of material fact, that none of the Long Defendants are owners of the Dam as a matter of law, and that the Declarations do not impose any obligations for maintenance of the Dam on any of the Long Defendants as a matter of law, and further find that the Long Defendants are entitled to summary judgment to Count One of the Third Amended Complaint, and Count One of the Counterclaim.

Respectfully submitted,

/s/ Stephen E. Chappellear

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CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing was served upon the following via electronic or regular mail this 26th day of January, 2024.

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